

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 853

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO HOSPITALS; PROVIDING LEGISLATIVE FINDINGS AND INTENT; AMENDING SECTION 39-1359, IDAHO CODE, TO REVISE PROVISIONS REGARDING CONVEYANCE OF HOSPITAL DISTRICT PROPERTY TO A NONPROFIT CORPORATION; AMENDING TITLE 48, IDAHO CODE, BY THE ADDITION OF A NEW CHAPTER 21, TITLE 48, IDAHO CODE, TO DEFINE TERMS, TO ESTABLISH PROVISIONS REGARDING NOTICE AND PUBLIC PROCESS, AND TO ESTABLISH PROVISIONS REGARDING STATE REVIEW; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE FINDINGS AND INTENT. (1) The Legislature finds that:

(a) Public hospital districts were created and funded by local taxpayers to ensure access to essential health care services and to maintain local governance authority;

(b) When hospital district assets are conveyed to nonprofit corporations pursuant to section 39-1359, Idaho Code, such conveyances are conditioned upon continued nonprofit operation for the benefit of the community;

(c) The transfer or control of such hospitals to multistate or distant systems without public notice or meaningful review may materially reduce local governance authority and undermine community accountability; and

(d) Transparency, public participation, and state review of control transfers are necessary to protect public assets, preserve access to essential services, and maintain public trust.

(2) It is the intent of the Legislature to operate prospectively and to clarify conditions attached to the conveyance of public hospital assets.

SECTION 2. That Section 39-1359, Idaho Code, be, and the same is hereby amended to read as follows:

39-1359. CONVEYANCE OF HOSPITAL DISTRICT PROPERTY TO NONPROFIT CORPORATION. (1) As an alternative to the procedure set forth in section 39-1358, Idaho Code, the board of trustees of a hospital district may convey or lease hospital district real property, facilities, and the personal property and equipment therein subject to the following conditions:

(a) The conveyance or lease shall be to a nonprofit corporation;

(b) No lease term shall exceed ninety-nine (99) years;

(c) The governing body of the nonprofit corporation must be composed initially of the incumbent trustees of the hospital district board of trustees as individuals;

(d) The articles of incorporation must provide for a membership of the corporation that is:

(i) Broadly representative of the public it serves; or
 (ii) A single nonprofit corporate member having articles of incorporation that provide for a membership of the corporation that is broadly representative of the public it serves. The articles must further provide for the selection of the governing body by the membership of the corporation or exclusively by a parent corporation that is a corporate member, with voting power, and not by the governing body itself, except to fill a vacancy for an unexpired term. The articles must further provide that no member of the governing body shall serve more than two (2) consecutive three (3) year terms;

(e) The nonprofit corporation must provide care for indigent patients and receive any person falling sick or maimed within the hospital district;

(f) The conveyance or lease agreement must provide for the transfer of patients, staff, and employees and for the continuing administration of any trusts or bequests or maintenance of records pertaining to the existing hospital district; and

(g) The conveyance or lease agreement shall provide for a price that is either of the following:

(i) The acceptance of all assets and assumption of all liabilities; or

(ii) Such other price to which the hospital district board of trustees and the nonprofit corporation agree.

(2) If any hospital that has been conveyed pursuant to this section ceases to be used as a nonprofit hospital, then the hospital so conveyed shall revert to the ownership of the hospital district, unless the premises so conveyed are sold and the proceeds used to erect or enlarge another nonprofit hospital. If any hospital that has been leased pursuant to this section ceases to be used as a nonprofit hospital, then the lease shall terminate.

(3) A hospital shall be deemed to have ceased to be used as a nonprofit hospital if:

(a) Control of the hospital is transferred to another entity without approval pursuant to chapter 21, title 48, Idaho Code; or

(b) The hospital enters into a transaction that materially eliminates local governance authority.

(4) As used in this section, "materially eliminates local governance authority" means the transfer of decision-making authority over hospital budgets, service lines, facility closures, executive leadership selection, or strategic planning to an entity that is not locally governed within the county or counties primarily served by the hospital.

SECTION 3. That Title 48, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW CHAPTER, to be known and designated as Chapter 21, Title 48, Idaho Code, and to read as follows:

CHAPTER 21

HEALTH CARE CONTROL TRANSFER TRANSPARENCY

48-2101. DEFINITIONS. As used in this chapter:

1 (1) "Control transfer" means any transaction or arrangement that re-
2 sults in:

- 3 (a) A change in majority voting power of the governing board;
- 4 (b) Substitution of a parent or controlling entity; or
- 5 (c) Delegation of material governance authority through management,
6 affiliation, or similar agreement.

7 (2) "Covered hospital" means any hospital located in Idaho that:

- 8 (a) Is organized as a nonprofit corporation; and
- 9 (b) Has received public hospital district assets pursuant to section
10 39-1359, Idaho Code.

11 48-2102. NOTICE AND PUBLIC PROCESS REQUIRED. (1) A covered hospital
12 shall provide written notice to the attorney general and the department of
13 health and welfare at least ninety (90) days prior to entering into any con-
14 trol transfer.

15 (2) A covered hospital shall conduct, with no less than thirty (30)
16 days' public notice, at least one (1) public hearing within the county it
17 primarily serves prior to entering into any control transfer.

18 (3) The notice required pursuant to subsection (2) of this section
19 shall include a summary of the proposed transaction and its anticipated im-
20 pact on governance, services, and community benefit obligations.

21 48-2103. STATE REVIEW. (1) The attorney general shall review any
22 proposed control transfer of a covered hospital to determine whether such
23 transfer is consistent with the public interest, including effects on:

- 24 (a) Local governance and accountability;
- 25 (b) Access to essential services; and
- 26 (c) Community benefit obligations.

27 (2) The attorney general may approve, condition, or disapprove a con-
28 trol transfer pursuant to subsection (1) of this section.

29 (3) No control transfer shall take effect without written approval of
30 the attorney general.

31 SECTION 4. An emergency existing therefor, which emergency is hereby
32 declared to exist, this act shall be in full force and effect on and after
33 July 1, 2026.